3.1.2 Sectors, social enterprises and changing form

Unit 3.1 What is business? · 8 key points

- **Private sector:** owned by individuals or shareholders
- **Public sector:** owned or controlled by government, e.g. the NHS
- **Not-for-profit:** aims to achieve a purpose rather than make profit for owners, e.g. charities
- **Social enterprise:** trades like a business with a social or environmental purpose; reinvests most profit
- **Trap:** social enterprises can and usually do make a profit
- **Reasons to become Ltd:** limited liability, credibility, easier to raise finance
- **Reasons to become plc:** access to large amounts of share capital, higher profile
- **Reasons to go private:** escape stock market pressure and focus on the long term